Advertiser Disclosure

2020-2021 Tax Brackets and Federal Income Tax Rates

There are seven federal tax brackets for the 2020 tax year: 10%, 12%, 22%, 24%, 32%, 35% and 37%. Your bracket depends on your taxable income and filing status. These are the rates for taxes due in April 2021.

Tax brackets and rates for the 2021 tax year, as well as for 2019 and previous years, are broken down on this page.

2020 federal income tax brackets

(for taxes due in April 2021, or in October 2021 with an extension)

Expand the filing status that applies to you:

Single filers

Tax rate	Taxable income bracket	Tax owed
10%	$0 to $9,875	10% of taxable income
12%	$9,876 to $40,125	$987.50 plus 12% of the amount over $9,875
22%	$40,126 to $85,525	$4,617.50 plus 22% of the amount over $40,125
24%	$85,526 to $163,300	$14,605.50 plus 24% of the amount over $85,525
32%	$163,301 to $207,350	$33,271.50 plus 32% of the amount over $163,301
35%	$207,351 to $518,400	$47,367.50 plus 35% of the amount over $207,351
37%	$518,401 or more	$156,235 plus 37% of the amount over $518,400

Married, filing jointly

Married, filing separately

Head of household

2021 federal income tax brackets

(for taxes due in April 2022)

Expand the filing status that applies to you:

Single filers

Married, filing jointly

Married, filing separately

Head of household

What can you do with a tax refund? Lots.

Put many possibilities on your mind in your next appointment to take a big financial step – to pay down debt, to build savings or start investing, to buy a car or fund a vacation.

If you're picking money back from Uncle Sam this year, and you're thinking about how to make it work for you, NerdWallet can help.

Page 1 of 2

Start with how much of a refund you're expecting:

$2,869

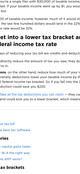
Next

How tax brackets work

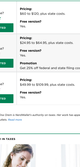
Federal income tax is a progressive tax system, meaning people with higher taxable income pay higher federal income tax rates.

- **Being "in" a tax bracket doesn't mean you pay that federal income tax rate on all your income.** Instead, your income is taxed at several different rates, with lower income taxed at lower rates. The portions of your income that fall into higher brackets are subject to lower federal income tax rates.
- **The government decides how much tax you owe by dividing your taxable income into chunks** – also known as tax brackets – and each chunk gets taxed at a different percentage. The 10% tax rate is for the first chunk of taxable income, the second chunk is taxed at 12% and so on, up to the last chunk, which is taxed at the top federal tax rate (the amount of tax you owe).

- **Example #1:** Let's say you're a single filer and earn a $32,000 in taxable income. That's in the 22% tax bracket. But not all income that you pay 22% on is $32,000. Actually, you pay only 10% on the first $9,875, you pay 12% on the next (Look at the tax brackets above to see the numbers).



- **Example #2:** If you had $50,000 of taxable income, you'd pay 10% on that first $9,875 and 12% on the chunk of taxable income between $9,875 and $40,125. And then you'd pay 22% on the chunk of income that falls into the 22% tax bracket: $50,000 minus the $40,125 that's in the lower tax brackets equals $9,875 – about 10% of your taxable income, even though you're in the 22% bracket. That 10% is called your effective tax rate.



- **That's the deal only for federal income taxes.** Your state might have different tax brackets, a flat income tax or no income tax at all.

Read: How states tax tax brackets here

What is a marginal tax rate?

Your marginal tax rate is the tax rate you would pay on one more dollar of taxable income. This typically equates to your tax bracket.

For example, if you're a single filer with $50,000 of taxable income, you would be in the 22% tax bracket. If your taxable income went up to $51, you would pay 22% on that additional $1 of income.

Your effective tax rate is your total tax bill divided by your taxable income. In the 22% tax bracket, that the two hundred dollars would land in the 22% tax bracket. Your marginal tax rate would be 22%.

How to get into a lower tax bracket and pay a lower federal income tax rate

Two common ways of reducing your tax bill are credits and deductions:

- **Tax credits** directly reduce the amount of tax you owe; they don't affect what tax bracket you're in.
- **Tax deductions**, on the other hand, reduce how much of your income is subject to taxes. Generally deductions lower your taxable income by the percentage of the tax bracket you're in. For example, if you're in the 22% tax bracket, a $1,000 deduction would save you $220 in taxes.

In either words: "See all the tax deductions you can claim" – they can reduce your taxable income and could kick you to a lower bracket, which means you pay a lower tax rate.

Tax tools

- Estimate your tax bill
- Compare the best tax software

More tax stories

- Learn about capital gains taxes
- Fill out your W-4 the right way
- Know your tax deadline

Past years' tax brackets

Curious how federal income tax brackets and rates have changed over the years? Take a look back:

2019 tax brackets and rates

2018 tax brackets and rates

2017 tax brackets and rates

2016 tax brackets and rates

2015 tax brackets and rates

2014 tax brackets and rates

2013 tax brackets and rates

2012 tax brackets and rates

Looking to file your taxes?

Here's a quick look at some of our top-rated tax software providers:

TURBOTAX

Is it easy to use?
★★★★★ 4.7/5

GET STARTED

Pricing:
$0 to $120, plus state costs.

Free version?
Yes

TRACKT

Is it easy to use?
★★★★★ 5

GET STARTED

Pricing:
$0.00 to $64.95, plus state costs.

Free version?
Yes

Pricing:
$0.00 plus federal and state filing costs.

Free version?
Yes

H&R BLOCK

Is it easy to use?
★★★★★ 4.7/5

GET STARTED

Pricing:
$0 to $129, plus state costs.

Free version?
Yes

About the author: Tim Rickert is NerdWallet's authority on taxes. He work has appeared in a variety of national national outlets. Read more.

Best Tax Software 2021

We've tested some of the most widely used tax-preparation software packages to help you choose the one that's right for you.

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Are the standard deductions for the year?
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Looking at all the purposes of figuring out tax brackets? Is it Gross, Adjusted Gross, Taxable Gross, Social Security Income, Other Income?
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Yes, mentioned income over here is taxable income, which is sort of all your earnings on your tax return minus your deductions and exemptions. And the tax worksheet here is only Federal
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I'm confused. Why is it fair for people who have to pay 35% to pay 35% of income over $1M? Why shouldn't the 35% tax bracket be for people who have to pay 35% of income over $500k? Why should someone $8k-$12k and $12-$16k and $16-$20k and $20-$24k and $24-$32k and $32-$35k and beyond and have not seen it on any other website. Not to saying that if I make just $1 more that the rate should be 35% but why should the 35% tax bracket be 35% and beyond? The same goes for the other brackets. What is the logic?
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a month ago
In Kristina Wooten Thanks for reading and commenting. The $0-$20 number is made up from the 10% tax bracket, the 12% tax bracket, the 22% tax bracket, the 24% tax bracket, the 32% tax bracket and the 35% tax bracket (10%+12%+22%+24%+32%+35%). That you amount you make over $0-$20 is taxed at 10%, the amount you make over $20-$32 is taxed at 12%, the amount you make over $32-$54 is taxed at 22%, the amount you make over $54-$86 is taxed at 24%, the amount you make over $86-$121 is taxed at 32%, the amount you make over $121-$ is taxed at 35%. Hope this explanation helps you understand how the progressive tax system works, rather than being one price income at the highest tax bracket level.
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Yes, mentioned income over here is taxable income, which is sort of all your earnings on your tax return minus your deductions and exemptions. And the tax worksheet here is only Federal
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a month ago
Jacob Hernandez Thanks for reading and commenting. The $0-$20 number is made up from the 10% tax bracket, the 12% tax bracket, the 22% tax bracket, the 24% tax bracket, the 32% tax bracket and the 35% tax bracket (10%+12%+22%+24%+32%+35%). That you amount you make over $0-$20 is taxed at 10%, the amount you make over $20-$32 is taxed at 12%, the amount you make over $32-$54 is taxed at 22%, the amount you make over $54-$86 is taxed at 24%, the amount you make over $86-$121 is taxed at 32%, the amount you make over $121-$ is taxed at 35%. Hope this explanation helps you understand how the progressive tax system works, rather than being one price income at the highest tax bracket level.
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